

STRESSORS AND SABOTAGE

In the last few chapters, I talked about positive money habits to trial and implement that are unique to our Financial Phenotypes. However, I also want to acknowledge that many of us unconsciously adopt negative money habits, particularly when we're stressed, that can sabotage us financially and undo all our good work.

Unfortunately, not many of us are immune from stress, and it's probably no surprise that experts suggest it's on the rise in our modern society, often brought about by the very society we're creating. Certainly, at the current moment in time, we're experiencing heightened episodes of stress—whether that's from global pandemics, bushfires or plummeting superannuation balances. The question I want to answer here is: How do we financially react during short or prolonged periods of stress?

Now, not all stress is bad. Stress is a normal part of life for everyone—it's definitely a normal part of everyday life for me. Some stress is good and can trigger your 'fight or flight' mechanism to help you handle emergencies. It can increase our awareness in difficult or dangerous situations, allowing us to act quickly in the moment. But if stress is constant over time, it can be detrimental to our health and it's the detrimental side of stress on our finances that I'm most interested in discussing here.

Stress, as we currently understand it today, is a construct mostly attributed to Hans Selye who developed the concept in a 1946 paper. Prior to that, stress had very little to do with our frame of mind and was more